

Standard Chartered Plc (HK) (2888)

Model Update

We have fine-tuned our model by updating the share price assumption for buybacks, leading to a <0.1% impact to our 2025/26/27E EPS. There are no other changes to our estimates and we maintain our current PT and rating.

Overweight

2888.HK, 2888 HK

Price (09 Sep 25): HK\$147.20

Price Target (Dec-26): HK\$162.00

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Key Changes (FYE Dec)

	Prev	Cur
BVPS - 26E (\$)	22.25	22.24

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	1.51	2.04	2.27

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	34	32	36	36	36
Growth	42	67	27	26	64
Momentum	22	12	11	11	87
Quality	79	71	61	76	91
Low Vol	36	27	32	51	62

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 2888.HK Price (HK\$) — HSI (rebased)

	YTD	1m	3m	12m
Abs	54.1%	1.1%	17.4%	91.0%
Rel	24.8%	-3.2%	10.1%	40.2%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	153.00-75.95
Market cap (\$ mn)	43,860
Exchange rate	7.79
Free float (%)	100.0%
3M ADV (mn)	1.45
3M ADV (\$ mn)	26.0
Volatility (90 Day)	24
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	11,096	10,787	10,716	10,987
Non interest income	8,305	9,606	10,421	10,973
Operating expenses	(11,790)	(12,276)	(12,399)	(12,566)
Adj. PPOP	7,611	8,116	8,738	9,395
Provision for loan losses	(557)	(1,144)	(1,209)	(1,277)
Adj. PBT	6,516	7,031	7,569	8,147
Adj. net income	3,930	4,723	4,967	5,427
Adj. EPS	1.51	2.04	2.27	2.61
BBG EPS	-	-	-	-
DPS	0.37	0.41	0.44	0.47
Loans	281,032	287,776	296,373	307,087
Deposits	464,489	499,025	510,084	521,588
Total Assets	849,688	880,766	907,205	940,210
Margins and Growth				
NIM	2.1%	2.0%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	60.5%	57.7%	58.1%	58.9%
NPL / Loans	2.2%	2.2%	2.1%	2.1%
Coverage	63.6%	63.6%	63.6%	63.6%
CET 1	14.2%	13.8%	13.6%	13.9%
Non-int. income/ Income	42.8%	47.1%	49.3%	50.0%
Cost/Income	60.8%	60.2%	58.7%	57.2%
LLP/Loans	(0.2%)	(0.4%)	(0.4%)	(0.4%)
ROA	0.5%	0.5%	0.6%	0.6%
ROE	8.8%	10.4%	10.7%	11.2%
Valuation				
Dividend yield	2.0%	2.2%	2.3%	2.5%
Adj. P/E	12.5	9.3	8.3	7.2
P/ BV	1.0	0.9	0.8	0.8

Summary Investment Thesis and Valuation

We see StanChart as undervalued relative to its sector/EM peers at 1.0x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE improving to ~13% by FY26E. Capital remains strong; we forecast distributions of ~\$10.6bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk, although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Our Dec-26 PT of HK\$162 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY27E and a fair P/B of 0.87x. Our key assumptions are a normalized ROE of 8.1% and a cost of capital of 8.9%.

Performance Drivers

Market	30%
Region	0%
Macro	23%
Style	5%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.55
Region: Hong Kong	0.28	0.04
Macro:		
HSI Volatility Index	-0.54	-0.49
Markit EM Composite PMI SA	0.26	0.32
US 10 Year Yield	-0.52	-0.32
Quant Styles:		
Quality	-0.10	-0.22
Growth	0.07	0.20
DivYld	0.04	-0.17

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) *(Overweight; Price Target: HK\$162.00)*

Investment Thesis

We see StanChart as undervalued relative to its sector/EM peers at 1.0x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE improving to ~13% by FY26E. Capital remains strong; we forecast distributions of ~\$10.6bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Valuation

Our Dec-26 PT of HK\$162 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY27E and a fair P/B of 0.88x. Our key assumptions are a normalized ROE of 8.1% and a cost of capital of 8.9%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	10,257	11,096	10,787	10,716	10,987	Cash and cash equivalents	51,697	48,168	48,168	48,168	48,168
Interest expense			-	-	-	Deposits with banks	63,185	58,872	58,872	58,872	58,872
Net interest income	10,257	11,096	10,787	10,716	10,987	Net loans	286,975	281,032	287,776	296,373	307,087
Non interest income	7,121	8,305	9,606	10,421	10,973	PP&E	2,274	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	6,214	5,791	5,965	6,144	6,328
o/w Trading income	0	0	0	0	0	LT investments	359,720	404,628	428,789	446,451	468,558
Net revenues	17,378	19,401	20,392	21,137	21,960	Other assets	52,779	48,772	48,772	48,772	48,772
Non interest expense	(11,136)	(11,790)	(12,276)	(12,399)	(12,566)	Total assets	822,844	849,688	880,766	907,205	940,210
o/w Employee costs			-	-	-	Interest earning assets	415,251	400,674	407,765	416,720	427,803
Pre-Prov. Profits	6,242	7,611	8,116	8,738	9,395	Deposits	469,418	464,489	499,025	510,084	521,588
Provisions	(658)	(1,145)	(1,194)	(1,259)	(1,337)	Borrowings	62,546	66,359	66,151	65,940	65,724
Adj. PBT	5,678	6,516	7,031	7,569	8,147	Other liabilities	246,039	274,058	269,160	283,597	302,929
Income taxes	(1,631)	(1,972)	(1,598)	(1,875)	(2,200)	Total liabilities	778,003	804,906	834,336	859,620	890,241
Minority interest	7	8	(17)	(18)	(18)	Shareholder equity	44,445	44,388	46,036	47,191	49,575
Adj. Net profit	3,415	3,930	4,723	4,967	5,427	Minority interests	396	394	394	394	394
						Total liabilities and Shareholder equity	822,844	849,688	880,766	907,205	940,210
PPOP per share	2.25	2.99	3.49	4.00	4.55	Interest bearing liabilities					
Reported EPS	1.06	1.38	1.78	2.02	2.56	Book Value Per Share	16.85	18.43	20.47	22.24	24.65
Adj. EPS	1.20	1.51	2.04	2.27	2.61	Tangible Book Value Per Share	13.61	14.99	17.24	18.60	20.63
DPS	0.27	0.37	0.41	0.44	0.47						
Diluted shares outstanding	2,841	2,610	2,317	2,190	2,079						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	61.1%	60.5%	57.7%	58.1%	58.9%	Loan loss reserves/Loans	(1.5%)	(1.4%)	(1.4%)	(1.4%)	(1.3%)
Investment/Assets	42.8%	45.7%	48.2%	49.0%	49.5%	NPLs/Loans	2.5%	2.2%	2.2%	2.1%	2.1%
Loan/Assets	37.0%	34.6%	33.4%	33.2%	33.2%	Loan loss reserves/NPLs	58.2%	61.6%	63.6%	63.6%	63.6%
Customer deposits/Liabilities	60.3%	57.7%	59.8%	59.3%	58.6%	NPL y/y growth	(7.9%)	(14.2%)	2.0%	2.0%	2.0%
LT debt/Liabilities	8.0%	8.1%	8.1%	7.8%	7.5%	Tier 1 ratio	16.3%	16.9%	16.3%	16.0%	16.2%
						CAR	-	-	-	-	-
Ratio Analysis (%)						Ratio Analysis (%)					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	1.8%	2.1%	2.0%	1.9%	1.9%	Return on equity (ROE)	7.8%	8.8%	10.4%	10.7%	11.2%
Non interest income/Net revenue	41.0%	42.8%	47.1%	49.3%	50.0%	Return on assets (ROA)	0.4%	0.5%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	0.9%	1.0%	1.1%	1.2%	1.2%	Operating ROA	0.7%	0.8%	0.8%	0.8%	0.9%
Efficiency ratio	64.1%	60.8%	60.2%	58.7%	57.2%	Pre-Tax ROA	0.6%	0.8%	0.7%	0.8%	0.9%
Leverage ratio	4.8%	5.0%	5.0%	4.9%	5.0%	Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.0%
Revenue/Assets	2.1%	2.3%	2.4%	2.4%	2.4%	Tax rate	32.0%	32.8%	25.6%	27.5%	27.3%
RORWA	1.4%	1.6%	1.8%	1.8%	1.9%						
						Net loans y/y growth	(7.6%)	(2.1%)	2.4%	3.0%	3.6%
RWA	244,151	247,065	263,767	274,102	285,151	Assets y/y growth	0.4%	3.3%	3.7%	3.0%	3.6%
Avg. RWA	244,431	245,608	255,416	268,935	279,627	RWA y/y growth	(0.2%)	1.2%	6.8%	3.9%	4.0%
Avg. IEA	418,525	407,963	404,220	412,243	422,262	Deposits y/y growth	1.7%	(1.1%)	7.4%	2.2%	2.3%
Gross Loans	292,145	285,936	292,778	301,475	312,291	Net interest income y/y growth	28.7%	8.2%	(2.8%)	(0.7%)	2.5%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	10.3%	11.6%	5.1%	3.7%	3.9%
LLR	(4,320)	(3,948)	(4,027)	(4,107)	(4,190)	Adj. EPS y/y growth	30.2%	25.3%	35.4%	11.3%	15.1%
NPLs	7,228	6,203	6,327	6,454	6,583	BVPS y/y growth	12.0%	9.4%	11.1%	8.7%	10.8%
P/BV (x)	1.1	1.0	0.9	0.8	0.8	IE assets/Assets	51.0%	48.8%	46.7%	46.1%	45.7%
Adj. P/E (x)	15.7	12.5	9.3	8.3	7.2	Margins (as % of Avg. Assets)	1.2%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.4%	2.0%	2.2%	2.3%	2.5%	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.4%)	(0.4%)
Dividend payout	25.4%	26.9%	23.3%	22.0%	18.3%	Equity/Assets	5.3%	5.3%	5.2%	5.2%	5.2%
						Cost/Assets	1.4%	1.4%	1.4%	1.4%	1.4%
						Assets/Equity	18.8	18.8	19.1	19.2	19.1

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
01-Nov-22	OW	46.95	78
28-Feb-23	OW	72.50	85
18-Apr-23	OW	63.05	78
28-Apr-23	OW	61.95	80
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162

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